

He understood how to use the program and the micro-computer, and he was starting his account at his broker with \$25,000. He asked for suggestions concerning his starting portfolio, and I counseled him to start with just five or six markets and trade just one contract of each.

As a simple rule of thumb, I suggested that, when the profit on any position equals 75% of margin, he double up on the position and, when the loss equals 75%, he liquidate it. He agreed to follow the strategy and left.

About four months later, he phoned me with a sad story that he had already lost some 80% of his capital, and did I have any suggestions? This came as a total surprise to me, because I had been using this system and had been doing reasonably well with it during that time.

The careless trader with the large account very quickly becomes the careless trader with the small account.

I asked him to send me copies of his monthly statements for the period. After a cursory examination, the answer was obvious. His initial soybean position was 20,000 bu. He put on three Commodity Exchange silver contracts, three on sugar and so forth. He was grossly overtrading, and he completely overlooked our agreed-upon strategy of limiting losses to margin. It was a disaster, but this is a very unforgiving market.

One aspect of futures trading that is very different from even five or 10 years ago is the growth and dependency on microcomputers and computer programs. It seems that just about every account executive and speculator has a top-secret system, and all are claimed to produce consistent winners. I think we have gone too far in our dependency on this kind of technical trading, especially in tick-by-tick on-line charts.